

		• Plaintiff's performance: Plaintiff performed by depositing the money required by the Agreement into the Seller's bank account. [See SUMF ## 10, 11; Mvg. Otero Decl., ¶ 10.] • Defendants' breach: On July 31, 2025, Seller and Guarantor defaulted by instructing its bank to stop payments to Plaintiff under the Agreement. [SUMF # 5, Mvg. Otero Decl., ¶¶6-9, Exs. 2 & 3]. Plaintiff declared a breach and demanded payment from the Seller and Guarantor. [SUMF # 6, <i>Id.</i>] Despite Plaintiff's demand, Seller and Guarantor failed to pay the amounts due under Agreement and as guaranteed under Guaranty. [SUMF ##7-8, <i>Id.</i>] • Damages: The outstanding principal amount due on the Agreement at the time of the breach was \$44,653.68 [SUMF # 6, Mvg. Otero Decl., ¶¶6-9, Exs. 2-3.] The court finds that by this evidence, Plaintiff has met its prima facie burden of establishing each element of a breach of contract claim against the Seller and Guarantor under the Agreement and Guaranty. The burden, therefore, shifts to Defendants to offer sufficient evidence to create a triable issue of fact. Defendants have failed to file an opposition with any contradicting evidence to dispute Plaintiff's facts. Nor do Defendants object to the admissibility of any of Plaintiff's evidence or offer any evidence of a viable defense for their alleged breaches. As such, the court finds that the undisputed facts establish each element of the first and second causes of action of the complaint. The court, therefore, GRANTS summary judgment in Plaintiff's favor. Plaintiff to give notice.
12	Mills v. Nexgen Air Conditioning and Heating, LLC	TENTATIVE RULING: <u>Motion to Stay or Compel Arbitration</u> Defendants Nexgen Air Conditioning and Heating, LLC, and Marcus Van Valen move to stay this action pending resolution of the parties' arbitration or, in the alternative, move to compel Plaintiffs Sheryl Mills and Stephen Mills to arbitrate the claims asserted in their Complaint. For the following reasons, the motion is GRANTED in part and DENIED in part.

Over-Length Brief

The court exercises its discretion to consider only the first 15 pages of the over-length opposition brief. (Cal. Rules Ct., Rule 3.1113(d).)

Standard on Motions to Compel Arbitration

The law of this state with respect to arbitration agreements is contained in the California Arbitration Act (the “CAA”), Civil Procedure Code section 1280, *et seq.* Under the CAA, when a party to an arbitration agreement refuses to submit to arbitration, the other party may petition the court to compel arbitration and stay any pending lawsuit. (*See* Code Civ. Proc., § 1281.2; *Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 218.)

The right to arbitration depends upon contract; a petition to compel arbitration is simply a suit in equity seeking specific performance of that contract. (*Little v. Pullman* (2013) 219 Cal.App.4th 558, 565.) The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. (*Ibid.*) In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court’s discretion, to reach a final determination. (*Ibid.*)

Existence of Enforceable Arbitration Agreement

The party seeking to compel arbitration bears “the ultimate burden of proof, but the court [is] obliged to resolve the dispute using a three-step burden-shifting process.” (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755.) At the first step, “[t]he arbitration proponent must first recite verbatim, or provide a copy of, the alleged agreement. . . . At this step, a movant need not ‘follow the normal procedures of document authentication’ and need only ‘allege the existence of an agreement and support the allegation as provided in rule [3.1330].’ [Citation.]” (*Ibid.*) If the arbitration proponent meets this initial burden, the burden shifts to the party opposing arbitration “to offer admissible evidence creating a factual dispute” as to the agreement’s existence (e.g., challenging the authenticity of signatures, or that they ever signed the agreement). (*See ibid.*) “The opponent . . . must submit sufficient evidence to create a factual dispute and shift the burden back to the arbitration proponent, who

retains the ultimate burden of proving, by a preponderance of the evidence [Citation.]” (*Ibid.*)

Here, Defendants meet their initial burden by reciting verbatim the arbitration provision (Mot. at 2:9-17), but Plaintiffs meet their shifted burden to show a factual dispute as to whether the arbitration provision is enforceable, given evidence that Plaintiffs rescinded the agreements pursuant to the California Home Solicitations Sales Act (the “HSSA”) (Civ. Code, § 1689.6). (*See* Stephen Mills Decl. ¶ 5, Exs. C-D; Sheryl Mills Decl. ¶ 4.)

The HSSA provides in relevant part that:

In addition to any other right to revoke an offer, the buyer has the right to cancel a home solicitation contract written pursuant to Section 7151.2 of the Business and Professions Code [governing home improvement contracts] until midnight of the third business day . . . after the buyer receives a signed and dated copy of the contract or offer to purchase that complies with Section 1689.7 of this code.

(Civ. Code, § 1689.6(a)(2).)

Here, it is undisputed the HSSA covers the Plumbing Contract and HVAC Contract. (*See generally* Reply.) Plaintiffs submit evidence they canceled the contracts pursuant to the HSSA. (*See* Stephen Mills Decl. ¶ 5, Exs. C-D; Sheryl Mills Decl. ¶ 4.) This is sufficient to show a fact dispute regarding the enforceability of the arbitration agreement.

Defendants do not meet their ultimate burden of proving the existence of an enforceable arbitration agreement. Defendants rely on *Moncharsh v. Heily & Blase* (1992) 3 Cal.4th 1 to argue that rescission under the HSSA does not void the *arbitration provision* within the larger contract. The *Moncharsh* opinion, however, does not support Defendants’ argument. The California Supreme Court in *Moncharsh* held that when “the alleged illegality goes to only a portion of the contract (that does not include the arbitration agreement), the entire controversy, including the issue of illegality, remains arbitrable. [Citations.]” (*Moncharsh v. Heily & Blase* (1992) 3 Cal.4th 1, 30.) Because the arbitration opponent challenged the legality of only a fee-splitting provision in that case, the Supreme Court concluded that the alleged illegality did not void the arbitration clause. (*Ibid.*)